Alabama

GENERAL INFORMATION

1. Alabama **does not** maintain a list of eligible surplus lines insurers but does publish a list of certain unauthorized insurers that are known to be ineligible either as to financial requirements or as to claims practices.
2. Alabama **does** have a Surplus Lines Association.
3. Alabama **does not** have an Export List called Placement List.
4. Alabama **does** have an industrial insured exemption that will remain in effect (see Appendix C). In 2024, SB 46 codified the diligent effort exemption for a commercial purchaser.
5. **Surplus lines tax**: 6%, payable by broker.
6. Alabama **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Alabama may not prohibit a surplus lines broker from placing nonadmitted insurance with, or procuring nonadmitted insurance from, a nonadmitted insurer domiciled outside the U.S. that is listed on the Quarterly Listing of Alien Insurers maintained by the International Insurers Department of the NAIC.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

Alabama may not impose eligibility requirements on, or otherwise establish eligibility criteria for, nonadmitted insurers domiciled in a U.S. jurisdiction, except:

1. Alabama may require that the insurer be authorized to write the type of insurance in its domiciliary jurisdiction; and
2. Alabama may require that the insurer have capital and surplus or its equivalent under the laws of its domiciliary jurisdiction which equals the greater of:
   - The minimum capital and surplus requirements under the law of Alabama; or
   - $15,000,000.

The insurance commissioner may waive the minimum capital and surplus requirements if the commissioner makes an affirmative finding of acceptability after considering: quality of management, capital and surplus of a parent company, company underwriting profit and investment trends, market availability, and company record and reputation within the industry. The commissioner may not make a finding of acceptability of the insurer's capital and surplus is under $4.5 million.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

1. Wet marine and transportation insurance.
2. Insurance on subjects located, resident or to be performed wholly outside Alabama or on vehicles or aircraft owned and principally garaged outside Alabama.
3. Insurance on property or operation of railroads engaged in interstate commerce.
4. Insurance of aircraft owned or operated by manufacturers of aircraft or aircraft operated in scheduled interstate flight, or cargo of such aircraft or against liability, other than workmen's compensation and employer's liability, arising out of the ownership, maintenance or use of such aircraft.
5. The property and operations of the shipbuilding and ship repair industry engaged in interstate or foreign commerce and vessels, cargoes, watercraft, piers, wharves, graving docks, drydocks, marine railways and building ways, commonly known as wet marine.
6. Industrial insurance.

OTHER COMMENTS OR REQUIREMENTS

1. The Alabama DOI has mandated the use of OPTins (Online Premium Tax for Insurance) for insurance companies and brokers filing and paying premium tax or surplus lines. Each individual surplus lines broker is required to file a tax form **ID-15** and payment, with a policy report, for all surplus lines insurance transacted by him/her during the preceding calendar year by March 1st through OPTins at https://www.optins.org/. **Licensed brokers are also required to file an annual tax form if reporting zero business.** View surplus lines filing requirements at https://aldoi.gov/SurplusLineWeb/PDF/SLProcessInstructions.pdf.
2. The onus is on the broker to ascertain if an insurer:
   - is financially secure;
   - has transacted business for five years in its domiciliary country or state unless it is a wholly owned subsidiary of an insurer authorized in Alabama;
   - is not controlled by a foreign government;
   - has not been declared ineligible; and
   - has an appropriate trust fund (if an alien-insurer).
3. Alabama allows a surplus lines broker to place part of an insurance risk with a non-admitted insurer which otherwise satisfies the requirements for a surplus lines insurer in the state, except for the five-year

seasoning requirement in its domiciliary jurisdiction, by making a special deposit in the state of not less than $1,000,000 for the benefit of Alabama policyholders.

4. The written disclosure statement required to be sent to insureds to the effect that the insurance coverage provided is not written by an authorized (licensed) insurer and not subject to guaranty fund protection, does not apply to commercial insurance. However, the disclosure requirement applies to personal lines property, primary personal lines auto, homeowners (owner occupied), renters/tenants, farm owners, condo (unit owner), dwelling fire, and mobile home manufactured homes.
5. In 2024, Alabama enacted SB 46 which amended Alabama's Insurance Code. Such amendments include, but are not limited to, (i) expressly permitting a surplus line broker to charge a reasonable fee for each surplus lines policy; (ii) permitting surplus lines brokers to file reports quarterly, rather than on a 30-day rolling basis; and (iii) eliminating zero premium reporting requirements.
6. Every insurance contract procured and delivered as a surplus lines coverage must be initialed by, or bear the name and license number of, the surplus lines broker who procured it and must have stamped upon it the following:

   "This contract is registered and delivered as a surplus line coverage under the Alabama Surplus Line Insurance Law."

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